

*For instance,*



We might have a capital of ₹10 lakhs.



And for a particular trade we may be expecting that if we put our ₹2 lakhs, it may go up to ₹3 lakhs or come down to ₹1 lakh.



While the risk that we are willing to take on portfolio is 5% (say). In this case, we would invest only 1 lakh from our capital.



This is because, even if the ₹1 lakh goes down 50% to ₹50,000, our overall loss will not be more than 5%. This is how we know how much to trade or invest with.

Had we traded with ₹5,00,000, our return could have gone up or down by ₹2.5 lakhs. In such a scenario, our portfolio could potentially go down by 25%. Having 2-3 trades like this will make us sit with an exceptionally low capital in a brief period. This will take our trading journey back by many years.

Similarly, if we trade with a very low amount, say ₹1000. Even if this ₹1000 becomes ₹2000, it will not have any significant impact on our overall portfolio return. Therefore, sizing the trade correctly is very important.